

determined by whichever option performs more poorly from the buyer's perspective. As long as one of the options expires out-of-the-money, the option buyer will lose the entire premium. The expected correlation between the different options comprising a *worst of* basket is therefore a relevant price input, in addition to the standard inputs that determine option prices.

The *worst of* option we purchased was very cheap because a strong negative correlation had emerged between EUR/AUD versus EUR/ CHF; if one cross went down, the recent correlation suggested that the other cross was likely to go up, which should in theory protect the option seller. Our view, though, was that we wanted exposure to the euro crashing, and we felt that if the euro tanked, it would crash against both the Australian dollar and the Swiss franc, swamping the recent risk-on/risk-off inverse correlation effect. If we had taken a bearish bet on the euro using plain vanilla puts in the EUR/AUD or EUR/CHF crosses, we would have had to pay a premium of about 4½ percent of notional. But we could do the *worst of* basket trade, which we thought the market was mispricing because of a correlation effect that we believed was vulnerable, for less than one-tenth that amount.

I guess the market was pricing the premium at a level that assumed that the current correlation was the most likely future correlation without taking into account that there was a potential event—a debt fear induced selloff in the euro—that could radically alter the existing correlation.

Yes, and if the correlation was -0.60 , the dealers would sell us the option priced at a correlation assumption of -0.50 and high-five each other because they had just ripped our faces off.

What happened in this particular trade?

The euro did break down against both the Australian dollar and Swiss franc in mid-2009, and we ended up netting over six times our invested capital on the trade.

It seems like the common denominator in all your trades is taking advantage of the fact that markets always price securities on the implicit assumption that changes from prevailing levels are equally